



TWO DAYS BEFORE the first nationwide lockdown in March 2020, the Godrej Group, best known for its locks and soaps, saw its first employee fall ill as it was finalising its financial services venture. Soon, everybody was asked to work from home. As things came to a halt, its non-banking finance company (NBFC) licence was also delayed. “We finally got started when the second wave struck. We have had nothing but adventures [since then],” says a beaming Manish Shah, MD & CEO of Godrej Capital, from the group’s headquarters in Vikhroli in suburban Mumbai.

50 | Not far away in Kurla, another Mumbai suburb, healthcare and pharma giant Piramal Group was in the midst of a perfect storm. Even before Covid-19 struck, the group’s wholesale lending business in the real estate space had been dealing with one shock after another, such as demonetisation, GST and RERA. A year before the pandemic, Chairman Ajay Piramal, and his son and Executive Director Anand Piramal, had started strategising about diversifying into retail and more granular wholesale lending. A week before the lockdown, they had managed to convince Jairam Sridharan, then CFO at Axis Bank, to spearhead the group’s expansion into retail lending. Within a year of Sridharan taking over as MD of Piramal Capital & Housing Finance Limited (PCHFL), it managed to acquire the beleaguered Dewan Housing Finance Corporation Ltd (DHFL) after a bidding war in the midst of the pandemic.

Around the same time, in Pune, Adar Poonawalla—whose Serum Institute of India (SII) was busy rolling out the Covid-19 vaccine—was laying the groundwork for his financial services arm. The SII CEO also took the acquisition route, picking up the three-decade-old NBFC, Kolkata-headquartered Magma Fincorp (now known as Poonawalla Fincorp). The wild card was Singapore-headquartered DBS Bank, the first foreign bank that went the subsidiary route in India. Months after the advent of Covid-19, the Reserve Bank of India (RBI) allowed DBS Bank India to acquire private sector lender

Lakshmi Vilas Bank (LVB)—the first time the regulator had allowed a foreign bank to acquire an Indian one.

The timing of this flurry of activity may be a coincidence, but this shows that a brave new breed of players—with deep pockets and brand names—has entered the financial services space. They’re not deterred by the presence of big banks and NBFCs, starting out at a time when fintech firms are also upending longstanding payments and lending practices.

But why are new players getting into this competitive space? The answer lies in the ₹200-lakh crore banking and NBFC space in India. The market has seen Pune-headquartered Bajaj Finance emerge out of nothing to give established players such as Shriram Finance, Mahindra & Mahindra Financial Services, Tata Capital Financial Services, Muthoot Finance, and Cholamandalam Investment & Finance Company, among others, a run for their money. Plus, the space vacated by failed big entities like IL&FS, SREI and Reliance Capital offers an opportunity for the new players to rush in and gain market share. “We are still far away from peers like China in terms of credit-to-GDP ratio. So, there is scope for credit growth, *per se*,” says A.M. Karthik, vice president of financial sector ratings at ICRA Ltd (*see graphic ‘Looking for an Opening’*). Some of the new players, he adds, are looking at business segments that have not been fully ventured into, like unsecured and consumer financing. “They are all using technology and partnerships for asset-light models,” says Karthik. Failed NBFCs Reliance Capital and SREI, too, are also on the block under the Insolvency and Bankruptcy Code.

The government has already begun the process of privatising two medium-sized public sector banks, while the stake sale for IDBI Bank is well underway. The Adani Group, Vedanta, and a few other large corporations are also said to be looking for ways to scale up inorganically in the space. “I see further consolidation in the sector,” says the CEO of a mid-sized NBFC, who preferred to remain anonymous. Abhay Bhutada, MD of Poonawalla Fincorp, adds that the industry has gone through tough times over the past five to seven years, and needs reputed players who are well capitalised to offer innovative solutions by leveraging technology. So, what are the plans of the new players?

BUY AND BUILD

Inorganic expansion is clearly a key part of their strategy to establish a network of branches and retail assets. The Cyrus Poonawalla Group started off by focussing on business loans, personal loans, and loans to professionals like chartered accountants. “We took